

Insurance in Renewable Energy Sector

Need of Insurance in Renewable Sector

- Provide financial coverage against losses due to earthquake, flood, landslide
- Ensure funds to repair or replace assets due to unexpected event
- Reduce Financial risk
- Boost investor confidence



16 non life insurance Comapny in Nepal

Major Risk in Nepal



Flood and Landslides



Earthquake



Fire & Explosion



Machine/Electric Failure



Strikes and riots

Insurance Type

Pre Completion Phase

1. Contractor's All Risk Insurance
2. Erection All Risk Insurance
3. Contractor's plant and Machinery Insurance
4. Transit Insurance
5. Professional Indemnity Insurance

Operational Phase

1. Property Insurance
2. Business Operation Insurance (Loss of Profit Insurance)
3. Machinery Breakdown Insurance



Contractors All Risk (CAR) Insurance

covers civil engineering works, include damage to insured property



Property Insurance

covers physical damage to plants, machinery, and equipment



Erection All Risk (EAR) Insurance

covers material damage and third party liability during erection and installation of plant and machinery



Loss of Profit Insurance

safeguards against revenue losses during periods when plant is unable to generate electricity



Contractor's Plant and Machinery Insurance

Covers damage or losses to expensive construction machinery



Machine Breakdown Insurance

covers sudden damage to machine including repair or replacement cost

Premium Rate



General Risk Group
Rate- Rs. 2 per thousand



Medium Risk Group
Rate- Rs. 3 per thousand



High Risk Group
Rate- Rs. 4.5 per thousand

5%

Deducted from insurance compensation for earthquakes, landslides and floods

Current Challenges in Nepal

- Outdated policy Approach
- Slow claim settlement processes
- Fixed rate system
- Low awareness among developers

Way Forward

- Develop customized insurance packages for hydro, solar, wind and biomass
- Promote reinsurance support from global markets
- Increase awareness & training for developers

Under Consequential Loss of Profit Insurance Policy

the excess for loss policy for hydro, solar, wind based electricity will be

- Indemnity period upto 6 month, the excess will be min 30 days
- Indemnity Period upto 12 month, the excess will be min. of 60 days